

TATVA CHINTAN OFFER AT A GLANCE	
Offer Type	Book Built
Platform	Main Frame
Fresh Issue	Rs 225 Cr
Offer for Sale	Rs275 Cr
Face Value	Rs 10
Price Band	Rs1073 - 1083
Mkt/Bid Lot	13 Nos.
Implied M-Cap	Rs 2,400 Cr
Implied Equity Cap	Rs 22.16 Cr
Free Float	20.83%
Lead Manager	ICICI Securities , JM Financial
Registrar	Link Intime
Listing At	BSE, NSE

INDICATIVE ISSUE SCHEDULE	
Opening :16-Jul-2021	Closing :20-Jul-2021
Allotment :26-Jul-2021	Refunding :27-Jul-2021
Demat Credit :28-Jul-2021	Trading :29-Jul-2021

The Offer

Ankleshwar (Gujarat)-based Tatva Chintan Pharma Chem Ltd, which has completed 25 years this June, is going public with an IPO of Rs 500 cr. The offer consists of a fresh issue of Rs 225 cr and an offer for sale valued Rs 275 cr. The offer is being made through the book-building route with a price band of Rs 1073-1083 for Rs 10 paid-up share. At the cap price, the quantum of offer works out to about 46.17 lakh shares.

Applicants should bid for a minimum lot of 13 shares and multiples thereof. The shares are proposed to be listed on the main frame of BSE & NSE on July 29, 2021. ICICI Securities and JM Financial are acting as managers to the offer and Link Intime has been roped in as registrar to the issue. The bidding opens on Friday, July 16 and closes on Tuesday, July 20, 2021.

The company proposes to utilize the net proceeds towards funding of expansion of its Dahej manufacturing facility (Rs 147 Cr) and upgradation of R&D facility in Vadodara (Rs 24 cr). The balance is earmarked for general corporate purposes. However, the company has not yet entered into any definitive agreements or specific commitments towards the projects. Also, the project cost and related fund requirements have not been appraised by any bank or financial institution.

Lineage

The 1996-registered Tatva has been promoted by Chintan Shah, Ajay Patel and Shekhar Somani, who individually claims to have over 24 years experience in the specialty chemicals industry and have established strong business relationships with domestic as well as overseas customers.

Tatva is a specialty chemicals manufacturing company having a diverse portfolio of structure directing agents (**SDAs**), phase transfer catalysts (**PTCs**), electrolyte salts for super capacitor batteries and pharmaceutical and agrochemical intermediates and other specialty chemicals (**PASC**). Tatva is said to be the largest and only commercial manufacturer of SDAs for zeolites in India. It also claims to enjoy the second largest position globally. In addition, the company is one of the leading global producers of an entire range of PTCs in India and one of the key producers across the globe.

Tatva has a dedicated R&D facility that is recognized by the Department of Scientific and Industrial Research, Government of India, with state-of-the-art research and development infrastructure. It has reportedly developed 53 products during the last three fiscals.

Tatva's customers include Merck, Bayer AG, Asian Paints, Ipox Chemicals, Laurus Labs, Tosoh Asia, SRF, Navin Fluorine, Oriental Aromatics, Atul, Otsuka Chemical, Meghmani Organics, Divi's Laboratories, Hawks Chemical Company, Firmenich Aromatics, Jade Chem, etc.

Unlike many other high profile IPOs, Tatva has not resorted to venture capital or private equity funds. Also, the company does not have any financial or strategic partners. What's more, the company has never collected any share premium. It has issued four bonus issues in last twenty years out of earned reserves which is indeed commendable.

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